



MONTHLY UPDATE

Egypt: monthly update, August – September 2026

Edition of 2026-09-02 • 61 systems and instruments tracked

Developments summarised from sources published between the beginning of last month and today.

SUMMARY OF THE MONTH • GOVERNANCE • FINANCE • ICT INFRASTRUCTURE • DPI • TECHNOLOGY • CAPACITY • INCLUSION • DATA • GEOPOLITICS

Summary of the month

Identity became the condition of a phone line and of a bank account in the same month. All four mobile operators were referred to the Public Prosecution over lines registered without their subscribers' consent, while the regulator launched remote biometric verification for telecom services in a pilot and the central bank approved the rules governing the national digital financial identity. A member of Parliament separately proposed a national register of personal-data use – a proposal only, and the base holds no such register.

The money and the models moved together. The state signed a US\$3.5bn spectrum agreement with the four operators under the 2026-2030 national spectrum strategy, allocated an annual budget line for data centres and state artificial intelligence, and saw a Chinese bid for the government artificial-intelligence data-centre tender met by a rival United States consortium – the compute layer becoming a bilateral contest rather than a procurement. Domestically an Arabic large language model was ranked top among Arabic models in its parameter classes. The justice and communications ministries signed a three-year protocol behind a unified digital justice strategy, and the social insurance system cleared 92% of its accumulated arrears backlog.

Governance

Strategies, plans and policies

The month's largest single transaction was spectrum: 410 MHz awarded across 1.8, 2.6 and 3.5 GHz for US\$3.5bn, doubling operator holdings at once, which the minister said matches all spectrum allocated in Egypt over the previous thirty years. The strategy behind it is not held; Egypt reformed 2.6 GHz for 5G rather than licensing dedicated mid-band, and set no coverage or speed obligations. Service coverage stands at 242 services, over 270 targeted by end-2026, and a national data-centre strategy is under preparation around data localisation, with no publication date or draft text held.

Legislation and regulation

A cabinet meeting chaired by the Prime Minister agreed on 29 July 2026 to review the statutes governing social media and to raise financial penalties, with the ICT ministry preparing a comparative study of other states' regimes. In the same meeting the minister disclosed that a unit inside the telecommunications regulator already detects and acts on artificial-intelligence-manipulated video and imagery, and said that legislative amendment is still needed to address the practices at root (cabinet account). The unit's formation date, legal basis, staffing, method and appeal route were not stated.

Nine days earlier a member of parliament had called for a comprehensive standalone digital-privacy bill criminalising the recording and publication of people without consent, imposing takedown duties on platforms and widening investigators' powers to trace anonymous accounts, arguing that the Cybercrime Law and the Penal Code are insufficient in practice. The demand does not refer to the Personal Data Protection Law of 2020 at any point ([demand](#)).

A third route opened on 10 August, outside both: a party draft, described by its sponsor as [fifty-four articles over seven chapters, would require platforms to appoint a legal representative in the country, register influencers on a national platform, and regulate artificial intelligence, deepfakes, online extortion, gambling and child protection online](#). It has not been tabled and no text is published.

On 4 August the Ministry of Justice gazetted a deferral of the title-based property register for one Sohag survey section by a year to July 2027.

Data protection

The month's data-protection movement is an objection rather than a rule. A member of the Senate's constitutional and legislative affairs committee [objected to compulsory face-print collection by private operators for mobile line registration, arguing that identity can be verified by less intrusive means and that the 2020 personal data protection law classes biometrics as sensitive data](#). The collection itself is in operation; what the base does not hold is the instrument authorising it, the retention rule or any operator-side safeguard — which is why the objection is the first record here of a practice already running. Parliamentary pressure ran the same way on artificial intelligence, where members [called for deterrent rules to govern it](#), and neither call has yet produced a text.

The telecoms regulator [referred all four mobile operators to the Public Prosecution over lines registered in users' names without their knowledge](#), a disclosure made inside its half-year complaints report rather than as a separate enforcement notice. No charge, hearing date or penalty is on file.

Standards

Transfer-pricing guidance [has not been revised since 2018](#), and appeal committees relying on the statutory provision requiring a minister-approved guide have cancelled some penalties. The account is a named practitioner's, not the tax authority's.

Public debate and participation in policymaking

Two administrative reforms are stated and neither is dated. The head of the Council of State told circuit presidents the Council [continues to implement an integrated digital transformation plan](#) to speed litigation, naming no system, date or deliverable — the only first-hand record that this branch has a digitisation programme at all. A [proposed cut of the VAT credit-refund period to four months, three for smaller firms](#), still awaits its legislative steps, and will not meet its objects while the problems obstructing proof of balances remain.

Finance

Domestic budget appropriations and expenditure

The sector's own money was put before parliament. The planning minister told the House of Representatives that [EGP 13bn of public investment is allocated to the communications and information technology sector in the 2025/26 plan](#), against plan targets of US\$8.5bn in annual digital exports of which US\$6bn from outsourcing. It is a plan allocation rather than an outturn, and the base holds no execution figure against it — nor any published state digital appropriation, which is recorded as *Not held*.

New investments

The data-centre position moved by cancellation. [Telecom Egypt's board withdrew on 17 July from the agreement to sell 75-80% of its Regional Data Center Hub because the conditions were not met](#); the hub is instead to be carved out as a wholly-owned subsidiary ([cancellation account](#)). Neither the consideration nor the unmet conditions were disclosed.

ICT Infrastructure

Connectivity

An independent measurement published on 3 August 2026 gave the first full-year reading of Egypt's 5G launch. Six months after commercial service began in June 2025, the 5G median download speed had fallen to about 89 Mbps from 110.5 Mbps on launch day, and the combined 4G and 5G median stood at 34.77 Mbps against a pre-launch baseline of 37.68 Mbps ([measurement](#)). Egypt is the only one of the four North African launch markets with no published coverage or quality obligation attached to its award.

Attention has moved to the band above it. The incumbent, the regulator and a Chinese vendor [ran a mobile base station and a data call over upper 6 GHz on 19 August, reported at about 1.7 Gbps per user](#) and stated by the operator as the first such trial in Egypt and in Africa. It is a trial: no allocation, award, licence or commercial date follows it, and the throughput figure is the operator's own.

GSMA Intelligence's country-by-country survey [puts Egyptian 5G take-up at 3 per cent](#) and projects 60 per cent population coverage and 35 per cent take-up by 2030, crediting an early-2026 spectrum agreement with doubling operator capacity.

Data Storage

A market report puts an East Cairo campus at [25 MW operating with plans for 45](#) and names an Egyptian expansion inside a continental pipeline of 890 MW, with no site, capacity, investment figure or date. The report itself is not held.

Huawei [has bid to build the government's AI data centres](#), proposing to export 1,408 Ascend 950-series chips for a training cloud and a further 600 for two inference clusters on a twelve-month build, while the US State Department assembles a rival consortium of Nvidia, AMD and Microsoft. It would be the first confirmed export of Huawei's Ascend accelerators; no award is on file, and the reporting rests on unnamed sources and documents the correspondent reviewed.

The operator's own hub moved on its schedule rather than its capacity. Its chief executive told the half-year results call that [phase two of the Regional Data Hub is expected to begin operating within one to two months on economics improved against phase one, with further data-centre projects screened on internal rate of return, payback period and business model](#); the carve-out of the data-centre assets into a wholly owned subsidiary continues, and the chief financial officer said the uncompleted stake sale was not a negative development because the business is worth more retained. No entry-into-service date or capacity figure is confirmed, against a schedule the base already records as slipped.

DPI

Data Exchange

The 19 July cabinet meeting produced the window's substantive disclosure: 105 government bodies connected and 100 national databases linked through the government digital switch, with the digital treasury's operating model applied to a number of services and e-signature and e-seal live and integrated with digital identity ([cabinet readout](#)). No register of the connected bodies, lawful basis or audit arrangement accompanies the figures.

Digital Identity and CRVS

Identity gained a second biometric front end and a liability problem in the same month. The central bank governor launched [Haweya, registering face and fingerprint biometrics and enabling remote account opening at 37 banks](#), and the [national identity application reached a second release adding liveness detection](#). Neither carries an enrolment count or a governing decree. Against that, the telecommunications regulator [stated that registration alone does not establish criminal liability](#) after lines were found registered to people without their knowledge, after reports of a nineteen-year-old sentenced in absentia to 25 years in a case turning on a line registered in his name in 2024; it says it is revising the rules towards biometric subscriber verification, with no date or target stated. Within a week the revision acquired shape: the regulator [tightened the registration rules, referred the four mobile operators to the prosecution and set a unified national digital-identity project alongside, and is expanding mandatory facial verification at enrolment through its know-your-customer system, linked to the civil registry](#). Verification at enrolment does not prevent a line being handed on afterwards, which is the gap the case turned on. The scale of the problem showed in the complaint traffic: the regulator [logged over 3,000 line-fraud complaints and 100,000 call-centre inquiries in two days](#), saying it checks each disputed registration against the provider's own records. What the fix itself costs is now being asked in public: a member of parliament [has pressed the government on what institutional framework governs collection, storage and access to the facial-recognition data taken at registration](#), and digital-rights researchers argue that [biometric data cannot be reissued once compromised, which makes the protection framework the precondition rather than the sequel](#). The health ministry is separately [stated to have taken birth and death registration electronic nationwide](#), on the development plan's own word and with no coverage rate published.

The telecoms regulator [launched a remote biometric verification system in a pilot phase](#), built with ITIDA, CyShield and licensed electronic-signature companies, letting users reach services requiring identity verification and electronic signatures through mobile applications rather than company branches. Operators are to enable it in their own apps as their technical readiness allows, and its stated scope is to widen later to a broader range of digital services.

Digital Payments and Fintech

Two things moved on the payment rails. The instant payment network [began crediting inbound cross-border remittances instantly at all banks operating in Egypt](#). And factoring, where the platform now [vets invoices before financing to enforce the ban on double-funding a receivable](#), against factored paper up 77.8% in 2025 to EGP 132.2bn.

The operator that builds the state's payment infrastructure also became a lender. On 13 August it [agreed the full acquisition of an Egyptian non-bank lender to small and medium firms](#), extending its own infrastructure into direct lending. No consideration is disclosed in the records held, and neither states any separation between running government payment rails and holding a lending book that runs on them.

Registries

On 4 August the state-land regularisation platform was reported at [more than 302,000 applications received against about 1,700 contracts drawn up](#).

Sectoral management information systems

The social insurance authority reported on 3 August that it had served 8,621,000 people in about four months and cleared 92% of its arrears backlog — while the 95 online services it undertook in February within six months remained forthcoming as that window fell due ([authority account](#)).

Other GovTech and e-Gov

Two further services opened: the Public Prosecution began returning, through the national digital identity system, criminal judgments registered against an enquirer's own national number, and digital visa-on-arrival began at Cairo International on 1 August, with an issuance fee charged on top of the visa fee.

The judiciary signed for a platform of its own. On 11 August the justice minister and the heads of every judicial body [signed a Unified Digital Justice Strategy and launched a shared judicial-data platform](#), built with a foreign vendor and set out in three phases covering remote litigation, cybersecurity and artificial-intelligence-enabled services. No text, timetable, budget or data-protection arrangement is published, and the vendor's contract value and procurement route are not stated. The President returned to the same programme on 17 August, [directing that digital-sovereignty and cybersecurity standards be maintained for litigant data at a review of the City of Justice digital-court project](#), alongside justice ministry e-notarisation partnerships with two state banks. A direction is not a standard: none is named, and none is published.

The [unified government services card, integrating food-subsidy and civil-service delivery into one platform, was reviewed by the supply and communications ministers the day before](#), on database sharing and technical integration. The state's own complaints channel gave its monthly figures: [about 229,000 complaints, requests and inquiries handled in July, 84% referred on to the responsible authority and 14% closed](#), with governorates taking 17% of referrals and nine of them handling 74% of that share. Referral is not resolution, and no outcome or resolution time is published behind it.

Investors are to get their own digitised path through the land record. A [cooperation protocol signed on 13 August between the justice and investment ministries would digitise real-estate registration and notarisation services for investors](#), to shorten company incorporation. No protocol text, timetable or service list is published, and land-registration coverage for everyone else remains *Not held*.

The justice and communications ministries [signed a three-year cooperation protocol on 23 August 2026](#) to digitise the Cairo Court of Appeal and put artificial intelligence into the judiciary, covering a unified electronic repository for the archives of finally-adjudicated cases.

Technology

AI

The [second edition of the national artificial-intelligence strategy is unchanged as an instrument](#), with delivery bodies added around it — a responsible-AI centre established late 2025 and a university capacity programme. The ICT minister describes [Karnak, a locally contextual Arabic large language model, as available to startups as a base for applications](#); no release date, licence, parameter count, access terms or user count is held, and the strategy text itself is not held either.

ICT Industry

A group inaugurated its Middle East and Africa regional headquarters and first global generative-AI centre of excellence in New Cairo on 28 July, backed by a company-stated US\$100m with about 800 staff ([inauguration account](#)).

Innovation ecosystem

Egypt [led the continent in the first half of 2026 with US\\$327m raised, US\\$183m of it equity](#), after a 2025 in which one tracker counted US\$378.95m across 43 startups, second to Nigeria for a second year, funded ventures falling 15.7% as the average raise rose to US\$8.81m. A competing tracker's half-year figures for 2025 exceed twice that full-year total, and neither states its inclusion rules.

Capacity

Training and skills

The state's university artificial-intelligence programme closed its fourth round on 4 August with 1,090 students and 445 projects, taking the cumulative total since 2022 to 2,710 students ([round account](#)). A tripartite agreement added mentoring and real healthcare datasets to student projects, with no data-governance arrangement stated for the patient-derived data.

Inclusion

Access to services

The month's clearest inclusion move was a reopening rather than an extension. From 24 July the state accepted ration-card grievance and data-update forms at 500 post offices on Friday afternoons and Saturday mornings, alongside the online route that had until then been the only channel for appeals against the 2026 eligibility criteria, with a daily adjudication committee, results notified by text message and every case checked against official databases.

Digital divides

Accessibility followed a similar pattern of demonstration without obligation. On 4 August the ICT ministry published an accessibility toolbar on every page of its own site under a presidential initiative, executed by the ministry's academy for persons with disabilities, whose mandate is to propagate the standards to other government bodies. No deadline, list of bound entities, conformance level or audit route was stated ([ministry account](#)).

Data

Use of satellite data

A [trilateral memorandum with Japan's land and agriculture ministries](#) covers joint research and the application of artificial intelligence to monitoring water structures and flood risk, with Egypt intending to use a Japanese satellite rainfall product across Nile basin states. No money, date or named system is stated, and the instrumentation targets are old physical structures, the barrages first.

Geopolitics

US / hyperscaler activities

The vendor relationship moved a step, and only a step. The prime minister [witnessed the signing of a letter of intent between the communications ministry and Cisco Systems](#). A letter of intent binds nobody to anything: the record held carries no value, no scope of works and no date by which either side is to do something, which is the difference between this and the Mediterranean capacity partnership already on the ledger.

India activities

The two industry ministers [agreed a joint study of priority sectors for industrial and investment integration](#) at Jaipur, with financial technology among them, and discussed linking the two countries' payment systems and settling bilateral trade in local currencies. The linkage is under discussion only: no central bank, operator or payment rail is named on either side, and no instrument, value or date is given.

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